but costly mistake. While a lower rate may reduce the EMI (equated monthly instalment), the method used to calculate that interest can significantly affect the actual amount you end up paying.

Start with a clear budget when planning a home loan—and keep extra funds beyond the down payment. A home purchase often involves additional costs before you move in: interior work, furnishings, appliances, municipal taxes and even the housewarming ceremony.

Even before you approach a lender, your credit score and credit report should be in good standing. If your score isn't good enough, seek assistance from credit reviewers to understand how you could overcome any shortcomings. Once your financial records are in order, draw up a checklist of documents that you will need to apply for the loan. These may include your tax return files, employment history or other documents from your employer regarding your income and bank statements.

After you have done some groundwork, you can discuss the availability of a home loan with your banker or a builder/broker who is selling you the house. This way, you can engage with an institution where you already have a relationship, which may come in handy for smoother processing of paperwork. Chances are that you may need to take out a life insurance policy that covers the amount you are borrowing. This is not a must, but a lender may insist on it as a means of protecting the loan.

START WITH A CLEAR BUDGET WHEN PLANNING A HOME LOAN AND KEEP EXTRA FUNDS BEYOND DOWN PAYMENT

KNOW YOUR HOME LOAN

The basic construct of any loan is the same—you borrow money from an institution for a fixed duration. The loan is available at a defined interest rate (fixed or variable) and you incur charges in the event of delayed or defaulting payments. There are different types of homes—the one you construct or you purchase. To cater to the diverse needs of home-buyers, lenders have developed various types of tailored home loans

- **Home Construction Loan:** Available to build a house on a plot that one already owns, with disbursements made in stages based on construction progress. This loan ensures that funds are released according to project milestones and does not involve a one-time lump sum disbursement
- **Home Purchase Loan:** It is ideal for buyers looking to purchase a ready-to-move-in or a house under construction
- **Home Extension Loan:** Useful for those owning a house on their own plot, allowing them to expand their living space—adding rooms, extra floors, etc.—within the existing structure
- **Balance Transfer:** It enables existing home loan borrowers to transfer their existing loan to another lender, allowing them to benefit from lower rates
- **Renovation or Home Improvement Loan:** This type of loan can be used for repairs or renovations to an existing house
- **Land/ Plot purchase Loan:** Enables buyers to purchase land for building a house, cannot be used as an investment; may need to submit a proposed house plan and a timeline
- **Top-up Loan:** Offers an additional amount above the existing loan; can be used for additional expenses, such as home improvement or documentation